

# Procurement Policy and Supplier Management Handbook

**Meridian Components Pvt. Ltd.** · Version 4.2 · Effective 1 April 2025 **Document owner:** Head of Procurement · **Approved by:** Chief Operating Officer **Review cycle:** Annual · **Next review due:** 31 March 2026 · **Document ref:** MCPL/SCM/POL/4.2 **Applies to:** All procurement, planning, quality, and logistics personnel at Chakan and Hosur plants and the corporate office

## 1. Purpose and scope

This handbook sets out the rules governing how Meridian Components selects, approves, monitors, and, where necessary, exits supplier relationships. It applies to all direct material purchases, all indirect purchases above ₹1 lakh, and all logistics and freight contracts. It does not cover the purchase of land, buildings, or insurance, which are governed separately by the Corporate Finance Policy.

Where this handbook conflicts with a signed customer-mandated sourcing agreement, the customer agreement prevails, and the deviation must be recorded in the deviation register maintained by the Head of Procurement.

## 2. Supplier classification

Every supplier must be classified at onboarding and re-classified annually. Classification determines the depth of audit, the frequency of review, and the sourcing rules that apply.

| Class            | Qualifying criteria (any one is sufficient)                                                         | Review frequency | Audit requirement              |
|------------------|-----------------------------------------------------------------------------------------------------|------------------|--------------------------------|
| <b>Critical</b>  | Single-source for any part; or annual spend above ₹10 crore; or supplies a safety-related component | Monthly          | Full on-site audit, annually   |
| <b>Strategic</b> | Annual spend between ₹3 crore and ₹10 crore                                                         | Quarterly        | On-site audit, every two years |
| <b>Standard</b>  | Annual spend between ₹50 lakh and ₹3 crore                                                          | Half-yearly      | Desktop audit, every two years |
| <b>Tail</b>      | Annual spend below ₹50 lakh                                                                         | Annual           | Self-assessment questionnaire  |

A supplier meeting the criteria for more than one class is assigned to the higher class. Reclassification from Critical to a lower class requires the written approval of the Head of Procurement.

## 3. Approval authority for purchase orders

| Purchase order value              | Approving authority                                                     |
|-----------------------------------|-------------------------------------------------------------------------|
| Up to ₹5 lakh                     | Purchase Officer                                                        |
| Above ₹5 lakh and up to ₹25 lakh  | Category Manager                                                        |
| Above ₹25 lakh and up to ₹1 crore | Head of Procurement                                                     |
| Above ₹1 crore and up to ₹5 crore | Chief Operating Officer                                                 |
| Above ₹5 crore                    | Managing Director, with ratification by the Board Procurement Committee |

Splitting a single requirement into multiple purchase orders in order to stay below an approval threshold is a disciplinary offence. Annual rate contracts are approved at the value of the full contract, not the value of individual releases against it.

## 4. Supplier onboarding

New suppliers must complete all seven steps below before a purchase order can be raised. The target elapsed time from step 1 to step 7 is **21 working days**.

- Request for information.** Capability profile, capacity declaration, customer references, and certifications collected.
- Financial health check.** Minimum three years of audited financial statements. The supplier must show a debt-to-equity ratio below 2.0 and a positive net worth. A supplier failing this check may still be onboarded with the written approval of the Chief Operating Officer and a reduced payment term.
- Quality system audit.** Conducted against the Meridian supplier audit checklist. A minimum score of **75 out of 100** is required. Scores between 60 and 74 permit conditional onboarding with a corrective action plan closed within 90 days. Scores below 60 are a rejection.
- Sample approval.** Production part approval to Level 3, including dimensional report, material certificates, and capability study, with a minimum process capability index of 1.33 on all designated critical characteristics.
- ESG self-declaration.** Covering child and forced labour, environmental permits, and conflict minerals. Mandatory for all classes.

6. **Contract and non-disclosure agreement.** Executed on the standard Meridian template. Any deviation from the standard terms requires Legal sign-off.
7. **Vendor master creation.** Bank details verified by Finance through an independent call-back to a number obtained from public records, never from the supplier's own email footer.

## 5. Supplier performance scorecard

Suppliers are scored every quarter on a 100-point scale using the following weights:

| Dimension                          | Weight | Measurement basis                                                                 |
|------------------------------------|--------|-----------------------------------------------------------------------------------|
| On-time delivery                   | 30%    | Receipts within the agreed window as a percentage of total receipts               |
| Quality                            | 30%    | Defects per million parts received, at incoming inspection and in-line            |
| Cost                               | 20%    | Adherence to agreed price and delivery of committed annual cost reduction         |
| Responsiveness                     | 10%    | Acknowledgement within 24 hours; corrective action reports within 10 working days |
| Environment, social and governance | 10%    | Annual declaration status and audit findings                                      |

Rating bands are applied to the total score:

| Band | Score        | Standing                                                       |
|------|--------------|----------------------------------------------------------------|
| A    | 90 and above | Preferred — eligible for new business and long-term agreements |
| B    | 75 to 89     | Approved — eligible for new business                           |
| C    | 60 to 74     | Watch — existing business only, improvement plan required      |
| D    | Below 60     | At risk — business hold applies, see clause 6.4                |

For the on-time delivery dimension taken on its own, a supplier delivering below 90% cannot score in band A, and a supplier delivering below 75% cannot score in band B.

## 6. Performance failures and consequences

**6.1 On-time delivery below 90% in any quarter.** A written warning is issued to the supplier within 10 working days of quarter close, and the supplier moves to a weekly delivery review call until performance recovers above 90% for one full quarter.

**6.2 On-time delivery below 85% for two consecutive quarters.** In addition to clause 6.1, a debit note equal to **2% of the quarterly invoice value** is raised against the supplier, and the supplier must submit a formal improvement plan within **15 working days**. Failure to submit the plan escalates the matter to clause 6.4.

**6.3 Defect rate above 500 parts per million in any quarter.** The supplier bears the cost of rework at a standard recovery rate of **₹120 per affected unit**, and 100% incoming inspection is imposed at the supplier's cost until three consecutive lots are accepted without defect.

**6.4 Rating band D for two consecutive quarters.** The supplier is placed on business hold. No new requests for quotation are issued, no new part numbers are awarded, and a phase-out plan for existing parts must be prepared by the Category Manager within **90 days**.

**6.5 Late delivery causing a production line stoppage.** Documented downtime cost may be recovered from the supplier, subject to a cap of **5% of the annual purchase order value** for that supplier. Recovery requires a downtime record signed by the Plant Head and a root-cause report attributing the stoppage to the supplier.

**6.6 Force majeure.** Clauses 6.1 to 6.5 are suspended where the supplier demonstrates a qualifying force majeure event within 7 days of its occurrence. Port congestion, customs delays, and currency movement are expressly **not** treated as force majeure.

## 7. Sourcing rules

**7.1 Dual sourcing.** Every part supplied by a supplier classified as Critical must have a qualified second source in place within **12 months** of that classification being assigned. Progress is reported monthly to the Management Committee.

**7.2 Share of business.** No single supplier may hold more than **60%** of the volume of any one part once dual sourcing is established. Exceptions require the written approval of the Chief Operating Officer and are valid for one financial year.

**7.3 New country risk.** Onboarding a supplier from a country in which Meridian has no existing supply base requires Chief Operating Officer approval, supported by a written assessment of logistics, customs, and currency exposure.

**7.4 Competitive bidding.** All requirements above ₹25 lakh require a minimum of three comparable quotations. Where only one supplier is technically capable, a single-source justification note must be filed and approved one level above the normal approval authority.

## 8. Inventory and safety stock policy

Safety stock for every purchased part is calculated as:

**Safety stock (days) = lead time in days × 0.25**, subject to the minimum floors below.

| Part origin and class                          | Minimum safety stock |
|------------------------------------------------|----------------------|
| Imported, part supplied by a Critical supplier | 30 days              |
| Imported, all other parts                      | 10 days              |
| Domestic, part supplied by a Critical supplier | 15 days              |
| Domestic, all other parts                      | 5 days               |

Where the calculated figure and the floor differ, **the higher value applies**. Safety stock levels are reviewed monthly by the Head of Planning and may be temporarily raised with Head of Procurement approval where a named supply risk is open.

Obsolescence provisioning is applied as follows: 50% of value for stock with no movement for 180 to 365 days, and 100% of value for stock with no movement beyond 365 days.

## 9. Incoterms and freight

Imports are contracted on **FOB** terms so that Meridian controls the freight leg and the choice of forwarder. Domestic inbound purchases are contracted **Ex-Works** with freight arranged by Meridian. Exports to customers are contracted **CIF** unless the customer specifies otherwise in a signed agreement.

Air freight may be used only where a written line-stoppage risk assessment exists. Planned air freight above ₹10 lakh per month requires Head of Logistics approval; unplanned emergency air freight requires Chief Operating Officer approval within 48 hours of despatch.

## 10. Escalation matrix

| Level | Owner                   | Response time  | Typical trigger                                     |
|-------|-------------------------|----------------|-----------------------------------------------------|
| 1     | Buyer                   | 24 hours       | Delivery slippage of up to 3 days                   |
| 2     | Category Manager        | 48 hours       | Delivery slippage beyond 3 days, or a rejected lot  |
| 3     | Head of Procurement     | 72 hours       | Risk of line stoppage within 7 days                 |
| 4     | Chief Operating Officer | 5 working days | Actual line stoppage, or supplier insolvency signal |

Every escalation must be logged in the supplier issue register. Closing an escalation requires a documented root cause and a verified corrective action, not merely the resumption of supply.

## 11. Emergency and spot purchases

An emergency purchase outside the normal process is permitted only where a production line stoppage is likely within 72 hours and no approved supplier can meet the requirement. The value is capped at **₹25 lakh** per event. The purchase must be ratified by the Head of Procurement within **5 working days**, supported by the stoppage risk assessment that justified it. More than two emergency purchases from the same supplier in one quarter triggers a review of that supplier's classification and its safety stock setting.

## 12. Payment terms

Standard payment terms are **60 days** from the date of goods receipt. An early payment discount of **1.5%** may be offered for payment within 15 days, at the discretion of Finance. Suppliers registered as micro or small enterprises are paid within **45 days** in accordance with statutory requirements, and this term may not be negotiated downward. Any deviation from standard terms requires joint approval from the Head of Procurement and the Head of Finance.

## 13. Revision history

| Version | Date         | Principal changes                                                                                                                                                           |
|---------|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.0     | 1 April 2023 | Handbook restructured; scorecard weights introduced                                                                                                                         |
| 4.1     | 1 April 2024 | ESG self-declaration made mandatory for all supplier classes                                                                                                                |
| 4.2     | 1 April 2025 | Dual sourcing window shortened from 18 to 12 months; defect recovery rate revised to ₹120 per unit; port congestion and customs delay expressly excluded from force majeure |